**WEEK 2 — ACTIVITY 2: GLOBALIZATION EVIDENCE TASK**

**Student:** Assel Saginayeva
**Company B:** Bayan Sulu
**Country:** Kazakhstan

| Globalization question | Your finding about Company B | Evidence / Source |
|---|---|---|
| **1. Foreign inputs** | Does Company B use foreign technology, software, equipment, services or suppliers? **What exactly?** Yes, Bayan Sulu uses foreign technology. In 2011 the factory started up a continuous caramel line from Germany, the STRADA 1200, built by Klöckner Hänsel Processing GmbH. It can turn out 1,200 kg of caramel an hour. | Bayan Sulu company history page |
| **2. International customers/markets** | Does Company B sell products/services abroad or serve international customers? **Where?** Yes. Its products go to 14 countries, including China, Mongolia and Korea, and exports make up about 40% of total production. | Bayan Sulu "About us" page (bayansulu.kz) |
| **3. Global competition** | Does Company B compete with foreign companies, platforms or products? **Who?** Yes, and most of the pressure comes from abroad. Roughly half of the confectionery on Kazakhstan's market is brought in from other countries, chiefly Russia, Ukraine and Turkey. The company's president has pointed out that imports are the main threat every local producer has to deal with. | The Astana Times, Feb 2018, "Venerable Kazakh confectionery aims to edge out imports with local sweets". |
| **4. Global dependency** | Bayan Sulu relies on foreign suppliers in two areas.<br><br>The first is cocoa. The company buys its flour, sugar and packaging inside Kazakhstan, but the cocoa beans have to be imported, so the prices of its products depend on what those imported ingredients cost.<br><br>The second is equipment. Its production lines come from foreign manufacturers: Ubitek and Klöckner Hänsel in Germany, FHW in Austria for the waffle line, and Arkan in Turkey for the wrapping machines. The company says it keeps upgrading with machinery from leading European makers. | The Astana Times, Feb 2018<br>Bayan Sulu, History page |
| **5. Opportunity or Risk** | What is the **biggest global opportunity OR risk** for Company B? Why? The main risk is imported cocoa. Chocolate is a core product, so higher world cocoa prices or a weaker tenge hit costs straight away. The president refuses to cut corners on ingredients, unlike competitors who, he says, use flavourings | The Astana Times article |

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| | instead of milk and vegetable fats instead of chocolate, and that makes the margin squeeze worse.<br><br>The main opportunity is halal exports. The company is targeting Central Asia, with high halal demand and over 75 million people, and is also studying the Middle East, China and Southeast Asia. Exports are already about 40% of production, shipped to 14 countries. | |

Sources:


- The Astana Times, Venerable Kazakh confectionery aims to edge out imports with local sweets
- Bayan Sulu, History
- Bayan Sulu, new waffle production line
- Bayan Sulu, leader in the export of confectionery products
- Bayan Sulu, About us